

MACRO IMPULSE

Hawkish lean

Composite score +0.42

SELL-OFF RISK

Medium

Faster/higher hikes risk 3.1/5

RALLY RISK

Medium

Cuts priced back / hikes reduced 3.0/5

FRONT REPRICING

+65.5bp

Avg of front tenors and forwards

LARGEST TENOR

1y1y +79bp

Largest absolute selected move

Macro impulse by driver

Left = rally/cuts pressure. Right = sell-off/hike pressure.

Inflation/Wages		+0.58
Labour		-0.28
Growth/Activity		+0.41
Demand		-0.29
External/Liquidity		+0.64
Housing/Credit		+0.30
Surveys		+0.40

What defines it now

Hawkish lean. Dominant drivers: External/Liquidity +0.6, Inflation/Wages +0.6, Growth/Activity +0.4.

Rates / bond repricing ladder

bp move since 25Feb26. Positive = rates sold off / hikes priced.

6m		+35.2
1y		+56.5
2y		+67.6
5y		+57.2
10y		+47.2
6m6m		+78.6
1y1y		+79.2
2y1y		+57.7
5y5y		+35.4
U26-1y		+61.4

Front avg +65.5bp | Belly +56.2bp | Long +44.9bp

Decision panel

Two-way

Track 1y1y +79bp, 6m6m +79bp; the next external/liquidity print should decide whether hikes extend or cuts are priced back in.

Data arguing for sell-off / faster hikes

09 Jun GDP YoY: 3.80 vs 3.60 survey (hawkish, score +3.0)

23 Apr GDP SA QoQ: 1.70 vs 0.90 survey (hawkish, score +3.0)

23 Apr GDP YoY: 3.60 vs 2.60 survey (hawkish, score +3.0)

Data arguing for rally / cuts back in

04 Mar Industrial Production SA MoM: -1.90 vs 0.50 survey (dovish, score -2.1)

13 May Unemployment rate SA: 2.80 vs 2.70 survey (dovish, score -1.0)

02 Apr CPI MoM: 0.30 vs 0.60 survey (dovish, score -1.4)

Source: uploaded workbook tabs Moves and Data. Positive macro score = sell-off/hike pressure; negative = rally/cut pressure.

Snapshot: 12 indicators defining KRW now

Selection prioritizes recency, relevance, diversity of drivers and size of surprise/trend.

Date	Driver	Indicator	Actual	Survey	Prior	Read
09 Jun	Growth/Activity	GDP YoY	3.80	3.60	3.60	Hawkish +3.0
05 Jun	External/Liquidity	BoP Current Account Balance	28,292	NA	37,327	Dovish -1.5
02 Jun	Inflation/Wages	CPI YoY	3.10	2.90	2.60	Hawkish +2.5
01 Jun	Surveys	S&P Global South Korea PMI Mfg	54.8	NA	53.6	Hawkish +1.2
01 Jun	External/Liquidity	Exports YoY	53.2	49.2	48.0	Hawkish +0.9
01 Jun	External/Liquidity	Trade Balance	26,949	24,100	23,771	Hawkish +1.6
29 May	Growth/Activity	Industrial Production YoY	1.50	2.45	3.60	Dovish -0.7
28 May	Other	BOK Base Rate	2.50	2.50	2.50	Neutral +0.0
22 May	Surveys	Consumer Confidence	106	NA	99.2	Hawkish +1.5
21 May	Inflation/Wages	PPI YoY	6.90	NA	4.10	Hawkish +1.5
15 May	Inflation/Wages	Export Price Index YoY	40.8	NA	28.7	Hawkish +1.5
13 May	Labour	Unemployment rate SA	2.80	2.70	2.70	Dovish -1.0

Read: hawkish = stronger/hotter data or lower unemployment; dovish = weaker/cooler data or higher unemployment. When no survey exists, read uses actual versus prior with lower weight.

Indicator balance



Dovish 25 Neutral 18 Hawkish 59

Most important driver:
External/Liquidity (+0.64).

Tenors to track

1y1y +79.2bp

6m6m +78.6bp

2y +67.6bp

U26-1y +61.4bp

Interpretation

Track 1y1y +79bp, 6m6m +79bp; the next external/liquidity print should decide whether hikes extend or cuts are priced back in.

Indicator web: what to watch and where it should hit the curve

Use this as the monitoring map. Each box links a data driver to the rate tenors most likely to move.

External/Liquidity

+0.64

Track: BoP Current Account Balance; Exports YoY

Sell-off: Exports/reserves/current account beat.

Rally: Trade/reserves/current account deteriorate.

Tenor focus: 2y1y, 5y, 10y

Inflation/Wages

+0.58

Track: CPI YoY; PPI YoY

Sell-off: Hot CPI/PPI/wages versus survey or prior.

Rally: Cool CPI/PPI/wages; oil relief passes through.

Tenor focus: 6m, 1y, 6m6m

Growth/Activity

+0.41

Track: GDP YoY; Industrial Production YoY

Sell-off: GDP/IP/production beats; output momentum holds.

Rally: GDP/IP/production misses; slowdown broadens.

Tenor focus: 2y, 2y1y, 5y

Surveys

+0.40

Track: S&P Global South Korea PMI Mfg; Consumer Confidence

Sell-off: PMI/sentiment rebounds above 50 or beats.

Rally: PMI/sentiment drops, especially below 50.

Tenor focus: 6m6m, 1y1y

Labour

-0.28

Track: Unemployment rate SA

Sell-off: Payrolls/jobs beat or unemployment falls.

Rally: Employment misses or unemployment rises.

Tenor focus: 1y, 2y, 1y1y

Housing/Credit

+0.30

Track: Bank Lending To Household Total; Money Supply L SA MoM

Sell-off: Credit/property/money growth accelerates.

Rally: Credit/property weakens; money growth fades.

Tenor focus: 2y, 5y, 1y1y

Demand

-0.29

Track: Retail Sales YoY; Discount Store Sales YoY

Sell-off: Retail/spending/consumer indicators re-accelerate.

Rally: Retail/consumption misses; confidence falls.

Tenor focus: 1y, 2y, 2y1y